Bennett Lee

Petroleo Brasileiro SA (PETR4-BR)

Company	Petroleo Brasileiro SA Pfd	EV/EBITDA (Trailing)	3.2x	P/BV	1.0x
Ticker	PETR4-BR	EV/EBITDA (2026E)	2.9x	EV/Sales	1.6x
Country	Brazil	EV/EBITDA (2027E)	3.3x	Shares Out (mn)	12,888.7
Sector	Energy	P/E (Trailing)	3.6x	Free Float	84.1%
Industry	Oil Gas & Consumable Fuels	P/E (2026E)	4.5x	Market Cap (USDmn)	114,617
IVE (BRL)	57.53	P/E (2027E)	5.7x	ADV Traded (USDmn)	321.9
Current Price (BRL)	43.11	FCF Yield (Trailing)	13.9%	Debt/Total Capital	48.0%
MoS	25.1%	FCF Yield (2026E)	15.5%	Net Debt/EBITDA	142.0%
52-Week High	50.69	FCF Yield (2027E)	14.6%	Interest Coverage	5.5x
52-Week Low	29.31	Dividend Yield	10.3%	Beta	0.7

Petrobras is a high-quality integrated energy company trading at a substantial political discount. **Record production, low-cost pre-salt assets, and continued investment in new capacity support a durable earnings and cash-flow outlook, while historical government intervention and governance failures continue to weigh on valuation.** Although those risks remain significant, the current multiple appears to price in a more adverse outcome than the operating fundamentals justify, creating meaningful margin of safety.

I derive an intrinsic value of R$57.53 per share, implying a 25.1% margin of safety versus the current price of R$43.11.

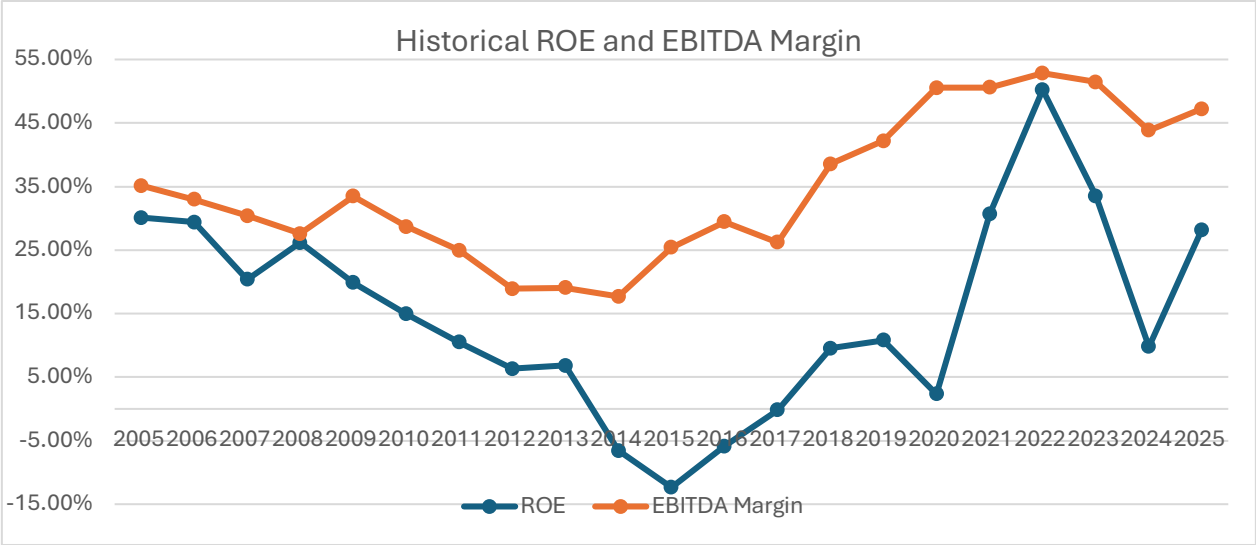
Company Details:

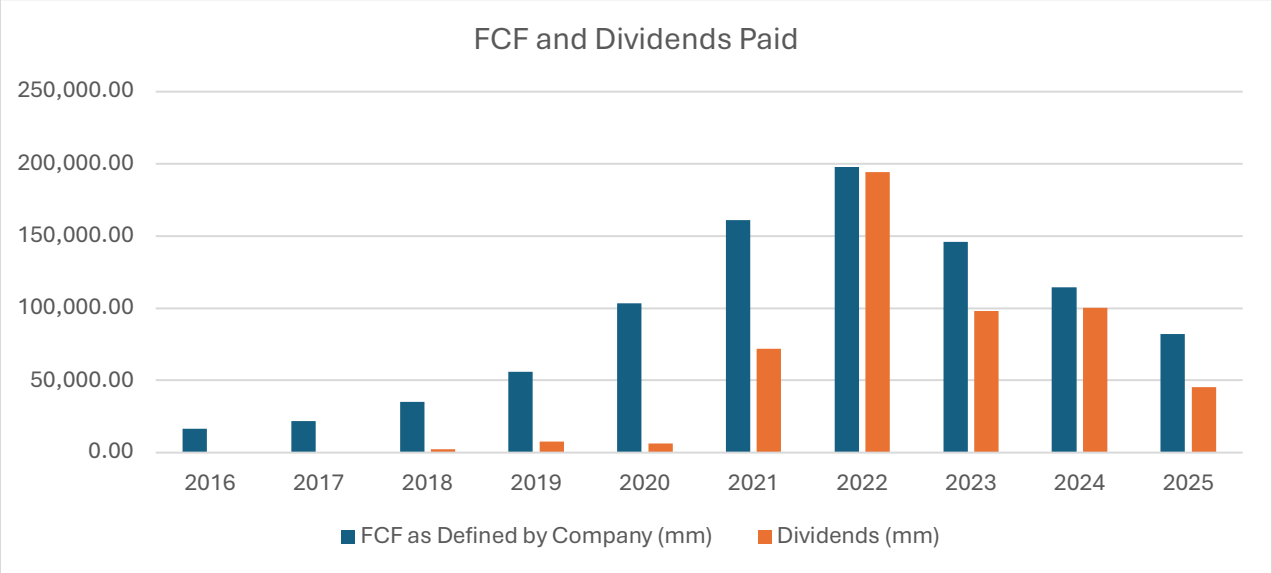
Petrobras was established in 1953 as a partially state-owned, integrated energy company controlled by the Brazilian federal government. The company explores, produces, refines, processes, markets, and transports crude oil, natural gas, and petroleum products. Over seven decades, Petrobras progressed from onshore production into shallow, deep, and ultra-deepwater operations, culminating in the commercial discovery of Brazil's pre-salt province in 2006. Pre-salt development subsequently transformed Petrobras' production base around large, high-quality, low-cost offshore reservoirs.

Petrobras operates through three segments: **Exploration and Production**, covering the exploration, development, and production of crude oil, NGL, and natural gas; **Refining, Transportation and Marketing**, covering refining, logistics, crude and product trading, petrochemicals, and fertilizers; and **Gas and Low Carbon Energies,** covering natural-gas and LNG logistics and trading, gas processing, electricity generation, and low-carbon activities.

Financially, Petrobras combines high-return upstream assets with substantial commodity-driven cyclicality. ROE, EBITDA margins, and free cash flow have varied materially with Brent, production, and investment levels, while the shareholder-remuneration framework has also evolved over time. The current policy generally allocates 45% of FCF to shareholder remuneration, subject to debt and profitability conditions, with buybacks deducted from the same pool and extraordinary distributions considered only when investment, liquidity, and leverage requirements are satisfied.

*** For Internal Use Only ***





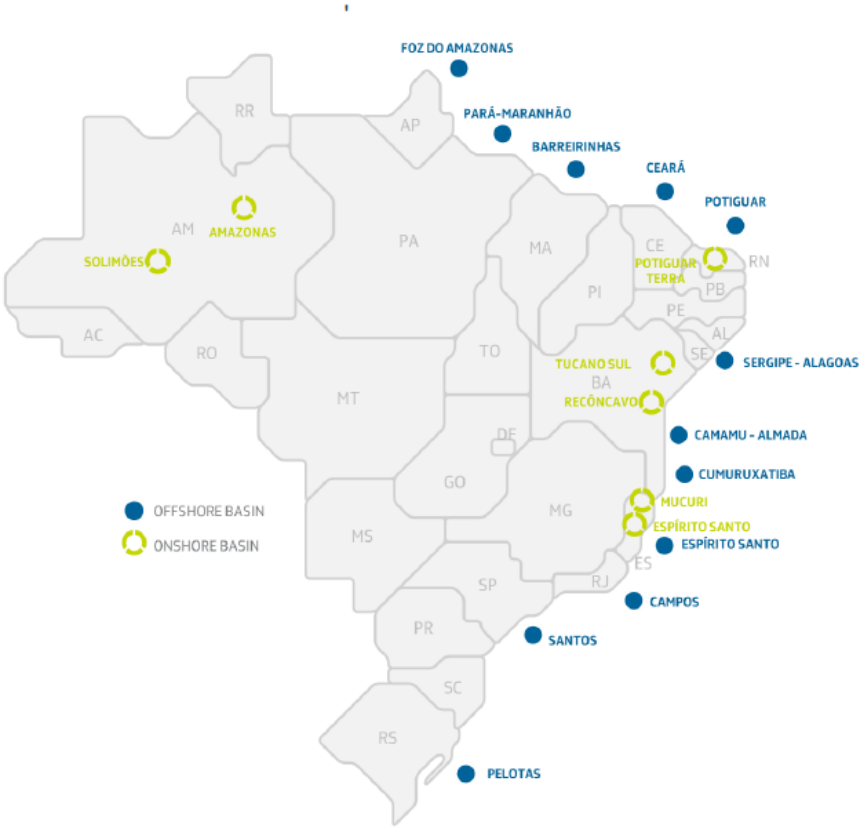
Segment Breakdown

Exploration and Production (E&P): Handles the upstream extraction of crude oil, natural gas liquids, and natural gas, primarily from Petrobras' pre-salt fields in the Santos and Campos basins. This segment functions as the company's profit engine, transferring crude internally to RT&M. As a result, E&P generated approximately 89% of Petrobras' total operating income in 2025 despite representing a much smaller share of headline revenue. This is the segment Petrobras is investing the most heavily in, with approximately $69bn of investment in 2026-2030 going to the segment.

Production grew roughly 30 percent from 2024 to early 2026, and the Business Plan now targets a peak of 2.7 million barrels per day in 2028, easing back to 2.6 million by 2030, though management has recently exceeded production guidance. New FPSOs (P-80, P-82, P-83 in Búzios, plus Atapu 2 and Sépia 2) are timed to offset natural field decline, cut from 12 percent to approximately 4 percent annually, rather

*** For Internal Use Only ***

than push output meaningfully higher. Continued exploration in the Equatorial Margin, Colombia, Africa, and Mexico is aimed at sustaining the 175 percent reserve replacement ratio achieved in 2025, protecting the plateau's durability.



Refining, Transportation and Marketing (RT&M): Purchases crude internally from E&P and from the domestic market, imports additional crude and refined products to balance the refinery feedstock slate, and then sells diesel, gasoline, jet fuel, LPG, and other products domestically, in addition to exporting crude oil and refined products to international clients. This segment also includes petrochemicals and fertilizer production and trading, and it physically executes essentially all the company's third party sales, whether refined domestically or exported unrefined. Because it must pay E&P a market based transfer price for crude before earning any margin of its own (exact pricing is not disclosed), and because domestic fuel prices are deliberately smoothed against international volatility under government policy, RT&M's profitability is comparatively thin, contributing only around 10 percent of total operating income in 2025.

Expansion here is aimed at import substitution rather than sustaining a plateau and allocating $15.8bn in investments from 2026-2030. The plan targets raising refining capacity from 1.8 million to 2.1 million barrels per day by 2030 through upgrades to existing refineries, RNEST's Train 2 and the new Boaventura complex chief among them, adding roughly 300 thousand bpd of S-10 diesel capacity specifically. Management has tied this directly to reducing diesel imports and eventually achieving self-sufficiency, a structural hedge against the margin pressure the segment has faced through 2026.

Gas and Low Carbon Energies (G&LCE): Covers the commercialization of natural gas, electricity, and liquefied natural gas, operates thermoelectric power plants, and processes natural gas sourced from E&P as well as imports from Bolivia and international LNG markets. It also houses Petrobras' renewable

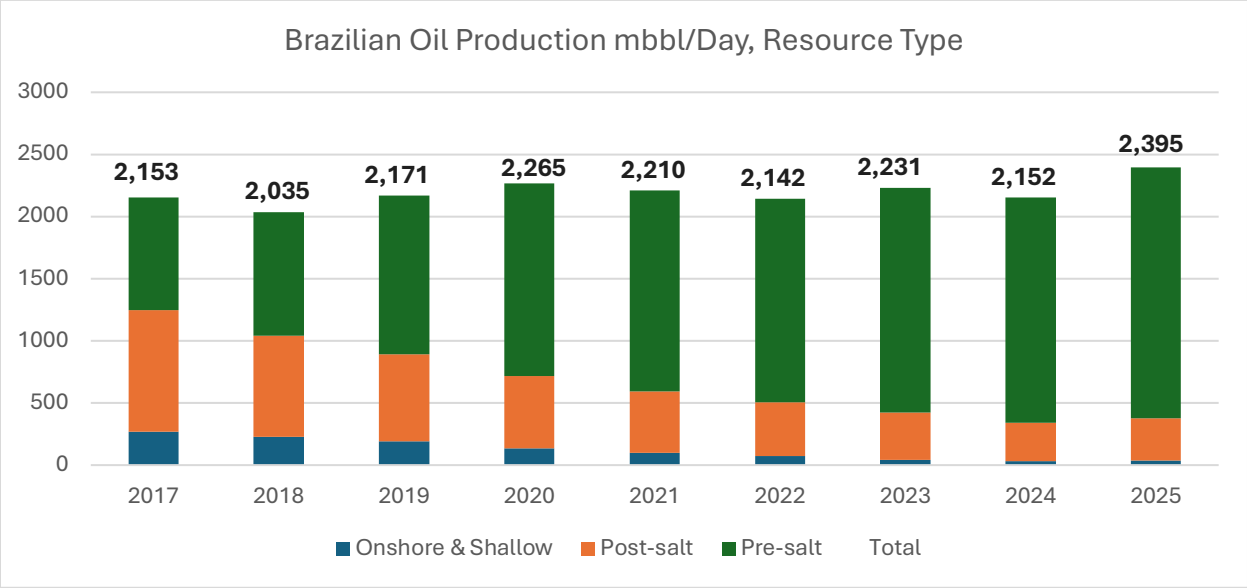
*** For Internal Use Only ***

energy initiatives, carbon capture and storage services, and biodiesel production, representing the company's emerging low carbon diversification efforts. This segment remains the smallest contributor to the business, generating roughly one percent of total operating income in 2025, reflecting both its early stage growth profile and the heavier relative weight of overhead and development costs against its still modest revenue base.

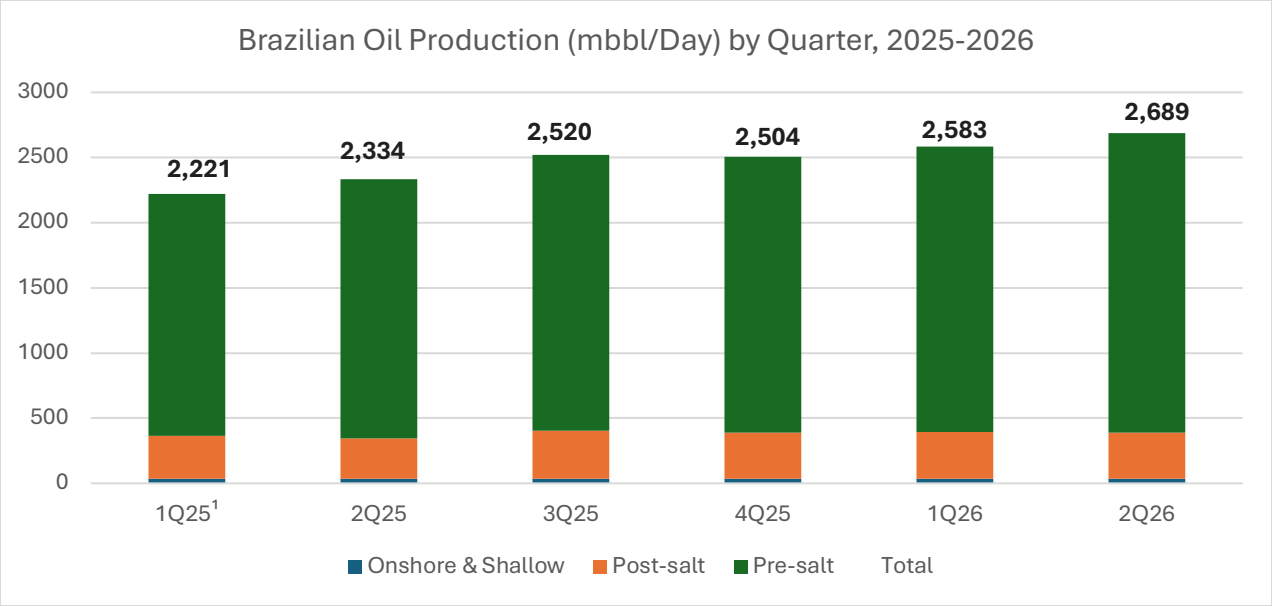
Revenue and Production Growth:

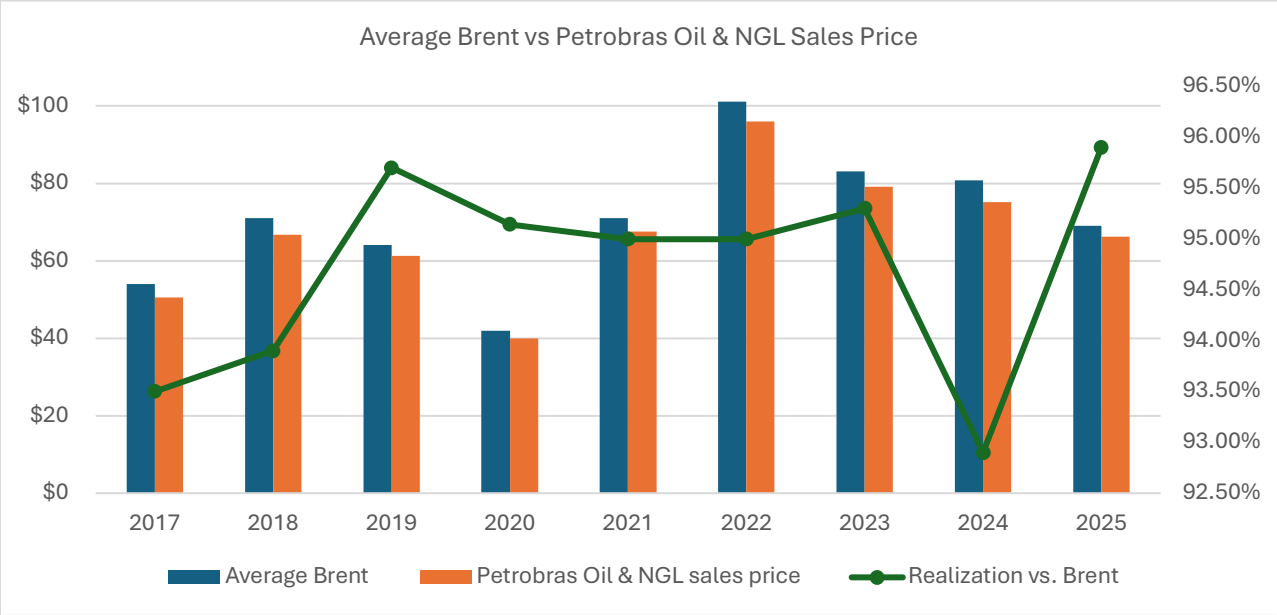
Oil output reached 2.7 million bpd in 2Q26, up 15% year over year and 200,000 bpd above the quarterly target, driven by earlier project deliveries, faster FPSO ramp-ups, and improved platform efficiency. Higher volumes increased crude exports by 12%, directly supporting revenue and cash generation, while P-78, P-79, and Alexandre de Gusmão still had approximately 270,000 bpd of remaining ramp-up capacity entering 2H26.

The Business Plan targets peak oil production of 2.7 million bpd in 2028, supported by eight new production systems through 2030. Growth is increasingly concentrated in low-cost pre-salt assets, which represented approximately 84% of Brazil Oil & NGL production in 2025, helping offset declines in mature fields. The pre-salt fields also provide downside protection: management estimates an average portfolio breakeven of approximately $25/bbl, total produced-oil cost of $30.4/boe, and lifting costs below $6/boe over 2026-2030, showing that Petrobras has the capability to remain operationally profitable well below current Brent levels.



*** For Internal Use Only ***





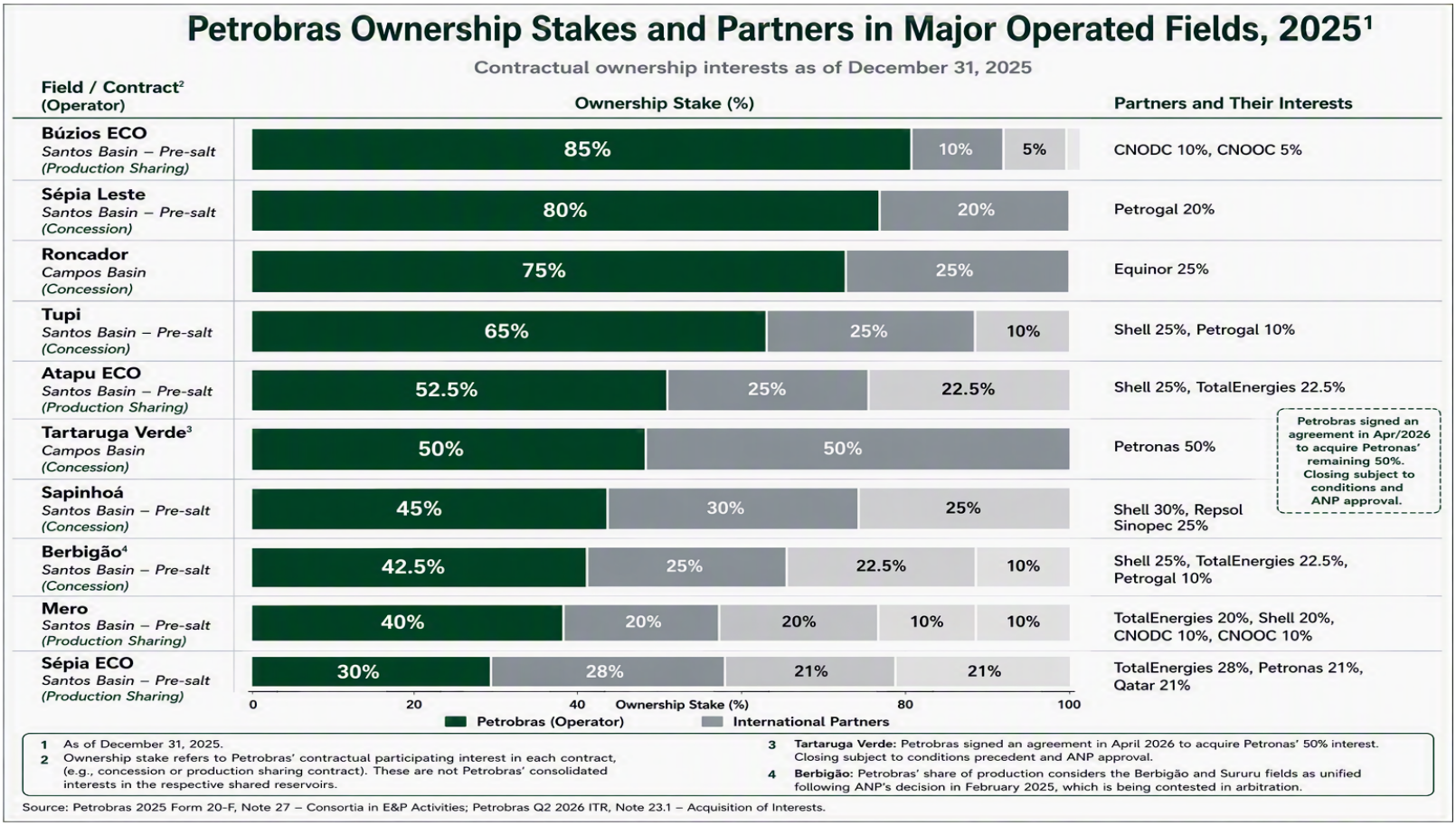
Competitive Positioning:

Petrobras holds the dominant position in Brazilian refining and benefits from a privileged position in new pre-salt production-sharing auctions. Before relevant bid rounds, the federal government must offer Petrobras the opportunity to express interest in operating specified blocks with a minimum 30% participation. This conditional preemption right does not exclude other bidders, but it provides Petrobras with a meaningful structural advantage in Brazil's most attractive upstream province.

Petrobras' decades of deepwater expertise culminated in the commercial discovery of Brazil's pre-salt province in 2006 and first production in 2008. That early technical leadership, combined with the scale and low lifting costs of its pre-salt reservoirs, creates a meaningful cost advantage and supports resilient economics through Brent downturns.

*** For Internal Use Only ***

Petrobras also retains controlling interests and operatorship across many of its largest fields, including 65% of Tupi, 85% of Búzios ECO, 75% of Roncador, and 80% of the Sépia Leste concession. Partners such as Shell, TotalEnergies, Equinor, Galp, CNOOC, and CNODC share development costs, geological risk, and technical expertise while Petrobras generally retains operational control. This consortium structure expands investment capacity and allows Petrobras to advance more projects simultaneously without carrying the full capital burden itself.



Project Initiatives and Requirements:

With support from the Lula administration, Petrobras is broadening its portfolio through refinery modernization, diesel import substitution, fertilizers, renewable fuels, ethanol co-processing, solar generation, and other low-carbon partnerships. These initiatives introduce greater exposure to businesses with potentially lower returns or broader public-policy objectives, although upstream remains the company's primary capital priority and profitability driver.

Crucially, post-Car Wash governance materially limits the risk of value-destructive investment. Petrobras' bylaws require government-directed obligations to be established through formal legal or contractual instruments. Major projects must also demonstrate strategic alignment and pass multiple technical and economic reviews, and, for investments exceeding $1 billion, receive Board approval following an Investment Committee opinion.

*** For Internal Use Only ***

IR further indicated that the internal investment committee generally requires unanimous approval and that decision-makers face personal accountability for weak projects, while citing management's average 22% project IRR. These safeguards do not remove political influence, but they substantially raise the transparency, economic, and approval hurdles for government-directed investment in the wake of the Car Wash scandal.

Domestic Fuel Pricing Mechanism:

Petrobras prices domestic diesel and gasoline within an undisclosed commercial range designed to maximize profitability and competitiveness while ensuring consumer-price stability. The upper reference of the range is the customer's alternative cost, while the lower reference is Petrobras' marginal value, or the opportunity cost of selling the molecule domestically rather than exporting or allocating it elsewhere. Their IR team describes the algorithm as a proprietary "black-box" model that factors domestic sales, exports, logistics, and pricing allocation that is not publicly disclosed, though they mentioned export parity can be used as an external proxy.

Price adjustments are done without a fixed schedule and lag short-term movements in Brent, FX, and international product prices to prevent temporary volatility from passing through to Brazilian consumers while still preserving adequate economics.

Macroeconomic Themes:

FX Sensitivity: Crude is priced in dollars while a substantial share of operating costs sit in reais, delivering a margin tailwind when the real weakens. On the other hand, approximately 70% of debt is denominated in USD, meaning any weakening of the real will also inflate Petrobras' debt value. Management has characterized this as largely a non-cash intercompany accounting effect, but it is worth keeping in mind the effects of any sudden FX swings.

Geopolitical and Trade Exposure: Petrobras' Atlantic Basin production is geographically removed from the Strait of Hormuz, while disruptions to Middle Eastern supply may support Brent and increase Asian demand for alternative crude streams. Chinese crude imports from Brazil have risen meaningfully as Asian refiners have sought alternative barrels, though the same dynamic cuts both ways internally: elevated Brent lifts E&P's export economics, but strains RT&M, which must import more diesel to meet domestic demand at a moment when government pricing policy limits how much of that added cost can be passed through.

Political and Government Involvement:

The key theme looming over the business and what is perceived as the multiple compressor is the Brazilian government. Because of the government's majority stake, the list of direct intervention and movements is extensive, as evidenced by a few notable examples:

- Petrobras announced an extraordinary dividend, which the government aligned-board then blocked, a decision later softened to a 50% restoration. The initial blocking caused the stock to drop 12%, and played a part in CEO Jean Paul Prates' ouster the following month, with Magda Chambriard installed in his place, dropping the stock a further 6%.
- After Pietro Mendes resigned as Chairman of the Board, Bruno Moretti, a politician with no oil or energy experience, was installed, causing the stock to drop roughly 7%.
- Director Claudio Schlosser was removed within days of President Lula publicly criticizing an LPG auction where prices ran up to 100% above list price, with the removal following the auction by less than a week.

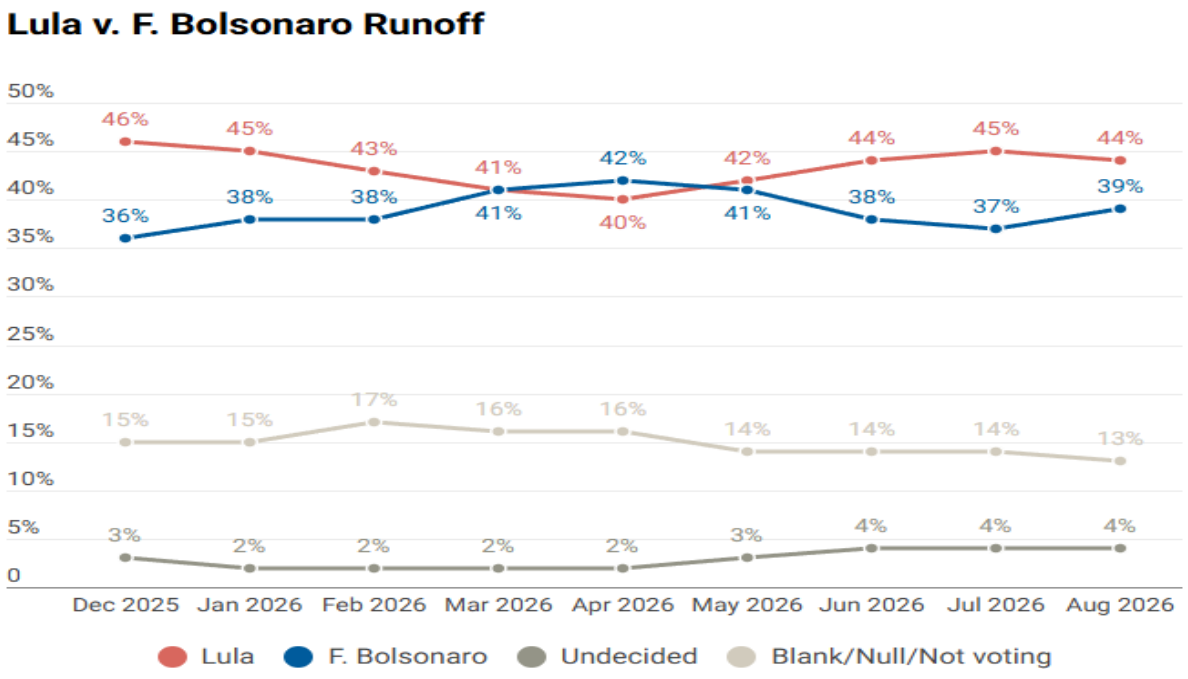
*** For Internal Use Only ***

Looking farther back, Petrobras was embroiled in Operation Car-Wash (2014-2021), where company executives received kickbacks from contractors in exchange for awarding them inflated and rigged contracts, which caused repercussions across both the company and Brazil and forced governance to drastically improve.

Regarding the actual products, the government started cushioning international fuel-price volatility after the Iran Conflict started. It introduced a road-diesel subsidy of R$0.32/liter, later increased to R$1.12/liter, for eligible sales at or below an ANP reference price; the original program was capped at R$10 billion and scheduled to expire by year-end. *For illustration, a qualifying sale at R$5.00/liter plus a R$1.12 subsidy would generate R$6.12/liter of gross economic proceeds before taxes and charges, allowing consumers to avoid part of the international increase without forcing Petrobras to absorb the full gap.*

Conversely, the government also imposed a 12% crude-export tax and a 50% diesel-export tax, reducing the attractiveness of foreign sales and supporting domestic supply. The mechanism is therefore two-sided: subsidies compensate for part of the domestic pricing gap, while export taxes lower the opportunity value of exporting. Petrobras recorded $2.23 billion of net fuel-subsidy revenue and R$5.51 billion of export-tax expense in 1H26, making the net financial effect more important than either policy viewed independently.

Current polling points toward a competitive runoff between Lula and Flávio Bolsonaro ahead of October's presidential election, with Lula generally maintaining a narrow lead despite periods of statistical parity, including when Flávio Bolsonaro pulled even or ahead in March-April 2026. A Lula victory would signal policy continuity, including continued diversification, government involvement in fuel pricing, and significant influence over Petrobras' Board. A Flávio Bolsonaro victory could be a potential upside surprise for the stock, potentially driving a market rerating through tighter strategic prioritization, the potential cancellation of lower-return programs, and renewed asset sales.

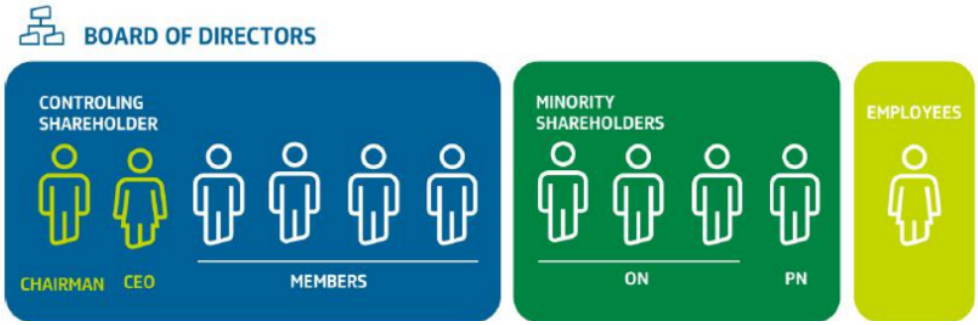


*** For Internal Use Only ***

Management & Board of Directors:

Management turnover is heavily influenced by the government, evidenced by 6 different CEOs since 2019, an average tenure under a year. Every change has traced back to a political trigger, fuel-pricing disputes and public unrest under the Bolsonaro administration, and dividend or investment-policy disagreements under Lula, rather than ordinary performance-driven turnover. Because CEOs are effectively appointed through the government's majority board control, leadership at Petrobras remains directly tied to the priorities of the sitting administration.

The government holds a majority of Board seats and is guaranteed the right to elect a majority of its members, regardless of board size and regardless of the rights granted to minority shareholders. This structural provision, written directly into Petrobras' bylaws, gives the state continuous, unconditional control over the Board and, by extension, top-down influence over management itself.



Magda Chambriard brings direct Petrobras reservoir-engineering and regulatory experience, having previously served as director-general of the National Agency of Petroleum, Natural Gas, and Biofuels before joining Lula's transition team and being installed as CEO. Her tenure has coincided with improved project execution and production above formal targets. However, given Petrobras' history of politically influenced leadership changes, a change in administration could create renewed CEO and Board turnover risk.

Compensation Structure:

Petrobras develops executive-pay proposals through its People Committee and Board using oil-and-gas market benchmarks, but compensation remains subject to SEST **(Secretariat for Coordination and Governance of State-Owned Companies)** guidelines and annual shareholder approval, with SEST instructing the controlling government’s vote. The framework adds formal oversight and performance accountability, but its explicit inclusion of public-policy objectives, combined with the absence of disclosed equity-based incentives, means executive pay is less directly aligned with minority shareholder returns than at many global peers.

*** For Internal Use Only ***

Model Drivers:

Revenue: Revenue increases 18.9% in 2026 as Brent averages $87/bbl and total production rises to 3.34 mmboed, before declining in 2027 as Brent normalizes. From 2028 onward, revenue remains broadly stable around R$533-543bn, with production growth offsetting a flat $72/bbl Brent assumption.

Production and realization: Total oil and gas production increases from 2.96 mmboed in 2025 to 3.76 mmboed in 2028-2029, before moderating in 2030. Oil realization is held at 94% of Brent, broadly consistent with recent history.

Upstream costs: Lifting cost declines from $6.4/boe in 2026 to $5.9/boe by 2030, consistent with management's below-$6/boe objective and continued mix shift toward pre-salt. Royalties and special participation remain tied to E&P revenue, preserving direct sensitivity to oil prices and production.

Refining: Throughput increases from 1.85 mmbpd in 2025 to 2.10 mmbpd by 2030, reflecting refinery expansions and higher utilization. Crack spreads normalize from $19.30/bbl in 2026 to $10.50/bbl from 2028 onward, preventing the model from capitalizing the unusually strong 2026 downstream environment.

Margins and returns: EBITDA margin peaks at 50.7% in 2026 before normalizing near 48%, while ROE declines from 29.4% in 2026 to 17.9% in 2030 as Brent normalizes and the equity base grows. Terminal ROE remains above the 16.1% cost of equity, supporting continued value creation.

Capex: Capex remains elevated at R$93bn in 2026, R$104bn in 2027, and R$110bn in 2028, reflecting management guidance, before declining to approximately R$90-92bn in 2029-2030.

Leases and debt: Lease payments are modeled at $10bn annually in 2026-2027 and $9bn thereafter. Gross debt declines from approximately R$350bn in 2026 to R$320bn by 2030.

Valuation:

I use a 16.1% cost of equity, reflecting Brazil's elevated interest rates and Petrobras' government-related risk. ROE reaches 29.4% in 2026 before normalizing to 17.9% by 2030 as Brent falls to $72/bbl and the capital base expands. Importantly, terminal ROE remains above the cost of equity, indicating continued value creation under conservative assumptions.

Assuming 3.5% terminal growth and an 81% payout ratio, my FCFE valuation implies a 6.4x terminal P/FCFE, equivalent to 6.8x P/E, 3.5x EV/EBITDA, 1.20x P/BV, and a 15.7% FCFE yield. The elevated terminal payout reflects the moderation of the current development cycle and the limited need to retain all internally generated equity cash once production reaches its planned plateau. These multiples preserve a meaningful political discount and do not require Petrobras to rerate fully toward global peers.

Petrobras' most relevant peers are large integrated and state-influenced oil companies, shown below on a trailing basis:

Saudi Aramco: 7.4x EV/EBITDA, 13.5x P/E, and 3.2x P/BV

Exxon Mobil: 10.0x EV/EBITDA, 20.8x P/E, and 1.9x P/BV

Chevron: 8.4x EV/EBITDA, 19.4x P/E, and 1.6x P/BV

PetroChina: 4.2x EV/EBITDA, 10.0x P/E, and 0.8x P/BV

Shell: 5.5x EV/EBITDA, 9.8x P/E, and 1.2x P/BV

*** For Internal Use Only ***

My FCFE valuation produces an intrinsic value of **R$57.53** per share versus a current price of **R$43.11**, representing **33.5% upside** and a **25.1% margin of safety**, mainly driven by operating fundamentals rather than aggressive multiple expansion. The valuation therefore only requires Petrobras to sustain returns modestly above its cost of equity and retain a material, but not punitive, political discount.

ESG:

Overall: Petrobras carries an MSCI ESG rating of BBB and an S360 rating of Neutral.

Environmental: Petrobras carries an Environmental Pillar Score of 5.7, modestly above the industry average of 5.2, though the trend is negative, the Carbon Emissions score fell sharply from 8.6 to 7.1 (-1.5) as MSCI's model penalizes the company for having 100% of operations in regions with limited carbon regulatory oversight. Biodiversity & Land Use scores well (5.6, above peer average) on land use and reclamation policies, but Toxic Emissions & Waste remains weak (4.4) with "limited to no evidence of environmental policies and commitments." MSCI's Implied Temperature Rise model puts Petrobras at 3.4°C, still misaligned with the Paris Agreement's 1.5°C goal, though in line with the integrated oil and gas peer median.

Social: The Social Pillar Score is a relative strength at 7.3, well above the 6.2 industry average, driven by a Community Relations score of 10.0, reflecting strong human rights commitments and community engagement, and low revenue exposure to natural ecosystem or livelihood impacts. Health & Safety is the offsetting weak spot (4.5, below peers), with fatalities per 100,000 employees averaging 7.83 over FY2022-24 versus an industry average of 4.39, including 4 fatalities in 2024.

Governance: Governance is the clear weak point of the ESG profile, at 3.3, well below both the industry average (4.2) and the Environmental and Social pillars. The deductions are concentrated in two areas: Corporate Governance (-3.4, driven by Board, Pay, and Ownership & Control flags) and Corporate Behavior (-3.3, almost entirely Business Ethics). The federal government's 50.26% ownership stake is explicitly cited by MSCI as a driver of perceived corruption risk, and Operation Car Wash remains an active, "Very Severe" rated controversy in the model as of the most recent update. There has been real recent improvement: the rating was upgraded from BB to BBB in September 2025, with Petrobras no longer carrying overboarded non-executive directors and adding Nomination Committee Chair independence. Board composition itself is reasonably independent on paper (90.9% non-executive), but CEO tenure of just 1 year underscores the leadership turnover and government-influence dynamic that continues to weigh on the score.

*** For Internal Use Only ***

Summary

6.84
NEUTRAL
S360® Quantitative Score

6.84
NEUTRAL
Trend Adjusted Score

MSCI Rating
BBB

Peer Avg Score & Comp
5.94

3y Score Momentum
NEUT
NEG POS

ESG Performance Comp to Subindustry
AVG
LAG LEAD

Industry Ranking
7
Out of 25

Global Universe Ranking
2137
Out of 9416

	Pillar Score	Trend	Severe Controversy	Peer Avg Score & Comp	Top 3 Weaknesses
Environmental 50%	3.79	0	0	4.31	Water, Energy, Biodiversity
Social 15%	5.90	0	0	4.71	Health & Safety
Governance 35%	8.06	0	1	5.80	No Related Party Transactions; Annual Director Elections

Climate Exposure: High

Weaknesses | Strengths

Water

Energy

Biodiversity

Health & Safety

No Related Party Transactions
44%
of Peers Pass

Annual Director Elections
32%
of Peers Pass

*** For Internal Use Only ***